

THE RISKS OF WAR

1 Some analysts fear oil could go as high as \$150 a barrel, which would wreak havoc on the Indian economy

2 Three types of effects on the Indian economy are likely: direct, affecting trade between India

and both Russia and Ukraine; indirect, through global commodity and energy market shifts; and macroeconomic

3 The volatility in the price of active pharmaceutical ingredients or APIs could be exacerbated by the Ukraine crisis, hitting Indian pharma companies hard

4 Russian banks being barred from the SWIFT global messaging system by Europe and the US makes it difficult for Indian companies to

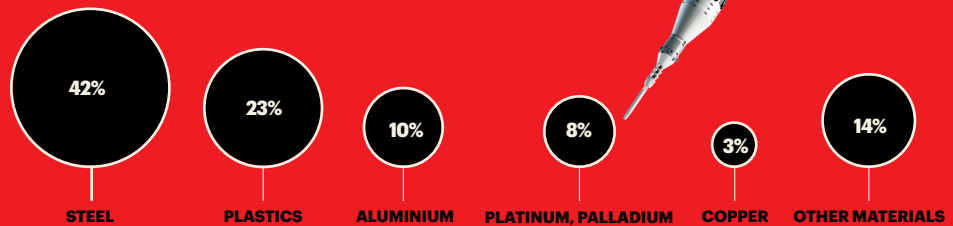
receive payments for their exports

5 The sharp rise in crude prices would hurt India, especially in heating inflation, but the rise in prices of metals such as steel, aluminium and nickel might actually benefit the country

THE PLATINUM, PALLADIUM RISK

Raw materials as a proportion of sale value of passenger cars

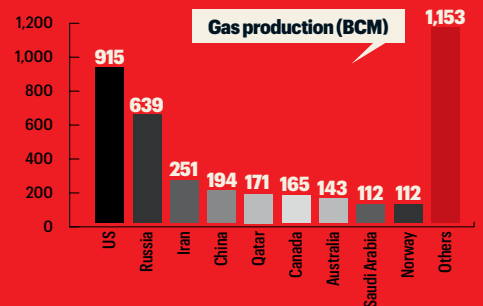
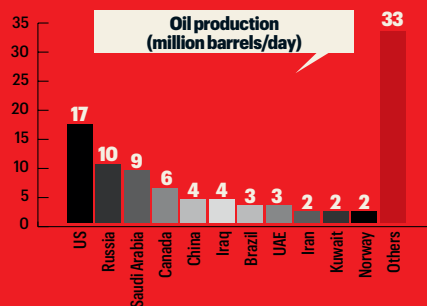
Source: Analysts' estimates



THE OIL & GAS CHALLENGE

Russia accounts for a high share of the world's oil and gas production

Figures are global crude oil production in 2020-21 in million barrels/day
Note: US crude production includes NGLs Source: IEA, Kotak Institutional Equities



Figures are natural gas production in BCM (billion cubic metres) for the world's major natural gas producers for 2019-20
Source: BP Statistical Review, Kotak Institutional Equities

THE EXPORT-IMPORT IMPACT

India's trade with both Russia and Ukraine is not large enough to impact our economy

INDIA'S TOP 5 EXPORTS

TO RUSSIA

1. Pharmaceuticals	348
2. Electrical apparatus	308
3. Flat rolled steel	114
4. Crustaceans	101
5. Automobile components	89

TO UKRAINE

1. Pharmaceuticals	103
2. Insecticides	14
3. Tyres	13
4. Electrical apparatus	10
5. Rice	9

INDIA'S TOP 5 IMPORTS

FROM RUSSIA

1. Crude oil	1,947
2. Coal	937
3. Petroleum oils (other than crude)	828
4. Diamonds	594
5. Chemical fertilisers	353

FROM UKRAINE

1. Sunflower seed, cotton-seed oil, etc.	1,351
3. Chemical fertilisers	268
4. Ammonia	177
5. Project goods	35
5. Wood, sawn or chipped	27

Figures are for April-December 2021, in \$ million Source: Commerce ministry, Kotak Institutional Equities

